

doing, will soon have to endure a far uglier mood. How angry will these people be when their assets are down 40%? Or 80%? Because the naiveté of today's investor is at an all-time high, the wrath that the public will feel at the bottom of the bear market will also reach an all-time high. When the public becomes enraged at its losses in coming years, it should remember where to direct its anger.

Professional Optimism

The public has felt safe in throwing billions of dollars of its discretionary investment capital and pension fund money at stock fund managers under the assumption that professionals know what they are doing and will handle the money correctly. The managers have simply put all that money into stocks, because in the narrow field of stock picking, they may know what they are doing, but in the market analysis field, they do not.

In the aggregate, professionals' experience is exactly that of the stock market. Fund managers (like economists; see Chapter 13) are people too, and in the aggregate, they become optimistic at market tops and pessimistic at bottoms. When the over-the-edge bullish psychology took hold of the public in 1991, it also took hold of professionals. One manifestation has been the flood of bullish books since that time, including *Beating the Street*, *Riding the Bull*, *The Warren Buffet Way*, *Of Permanent Value*, *The Common Sense Guide to Picking Stocks* and *Beating the New York Experts*, *Making Your Living From the Stock Market*, and a host of others.

Long time technicians remember the famous *Barron's* headline of January 1973, "Not a Bear Among Them," which summed up institutional investors' opinion at the onset of the biggest stock market drop in 36 years. Today, that situation is repeated. Fifty-eight economists surveyed by *The Wall Street Journal* last June agree: The best investments are stocks and bonds. This opinion is supported by the widely accepted observation, as expressed by Federal Reserve Chairman Alan Greenspan, that the country "is experiencing the ideal combination of rising activity, falling unemployment, and falling inflation." Money managers are so certain of these factors and their meaning that they have been calling the current juncture "cheerful tidings" and "nirvana" for stocks. This attitude shows up in the indicators.

One indicator of professional sentiment is the percentage of cash equivalents (such as short term money market paper) held by pension funds, mutual funds and insurance companies. Fund managers,